

# NextEra Energy, Inc.

NEE NYSE

|     |                 |                             |                                    |                         |
|-----|-----------------|-----------------------------|------------------------------------|-------------------------|
| Buy | \$88.00 ▲ 0.05% | 12M Price Target<br>\$98.00 | 52-Week Range<br>\$69.24 – \$98.75 | Market Cap<br>\$183.54B |
|-----|-----------------|-----------------------------|------------------------------------|-------------------------|

## NEE: Quiet Grind Higher as Renewables Meet AI Power Demand

### WHAT HAPPENED

- Basically nothing today — stock is flat at \$88 on tiny volume (1.5M shares vs the usual 11M+), which tells you this is a summer Monday with nobody at their desks. But zoom out: NEE has quietly climbed off the June lows and is now sitting at 64% of its 52-week range, which means the tape is telling you buyers are slowly accumulating.
- The news flow is all dividend-focused fluff (24/7 Wall St., Motley Fool calling it a "Dividend King" — meaning a stock with decades of consecutive dividend hikes). That's a tell — when the story becomes "safe income," it usually means the growth crowd has moved on and value/income buyers are stepping in.

### WHY IT MATTERS

Here's what I'm inferring: the options market is flashing a warning — put/call ratio of 1.72 means way more people are betting on downside than upside near-term, with a chunky \$93 put position being built. That suggests either a big holder is hedging into earnings (late July) or someone knows something about the pending IRA tax credit review in DC. But institutional ownership at 87% with BlackRock/Vanguard/State Street holding a combined 20%+ tells you the smart long-money isn't going anywhere. The setup: near-term chop, but the multi-year AI-power-demand story is intact and getting stronger every month as hyperscalers (Google, Amazon, Microsoft) sign more direct-power deals with utilities.

### POLICY & POLITICAL WATCH

The single biggest thing to watch: the Trump administration's ongoing rollback of Inflation Reduction Act (IRA) clean energy tax credits. Treasury guidance issued in 2025 tightened "beginning of construction" rules for wind/solar projects — NEE has been racing to safe-harbor its pipeline before deadlines, and management claims most of their 2026-2028 buildout is protected. The bull case: even with credits rolling off, AI-driven electricity demand (data centers now projected to consume 9%+ of US power by 2030) creates a structural tailwind that doesn't need subsidies. Also worth watching: FERC transmission rulings and any executive orders on grid reliability — both tend to favor scaled incumbents like NEE.

### IS IT EXPENSIVE?

At ~23.5x forward earnings (meaning you're paying \$23.50 for every \$1 of profit NEE is expected to make next year), it's trading at a premium to boring regulated utilities (which go for ~17-18x) but at a discount to where it traded in 2021 (~30x). The premium is justified IF you believe the AI-power demand story adds a growth kicker on top of the regulated Florida utility (FPL). If NEE is just a utility, it's expensive. If it's a utility PLUS a renewables/AI power growth story, it's reasonable.

### Key Data

|                     |           |
|---------------------|-----------|
| Price (USD)         | \$88.00   |
| 12M Price Target    | \$98.00   |
| Upside / (Downside) | +11.4%    |
| Market Cap          | \$183.54B |
| FY2026E Revenue     | \$28,500M |
| FY2027E Revenue     | \$31,200M |
| FY2026E EPS         | \$3.75    |
| FY2027E EPS         | \$4.10    |
| Fwd P/E             | 23.5x     |

### INVESTMENT PROFILE



### 12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$94.00   | \$90.00   | \$84.00   |
| 6 Months  | \$102.00  | \$94.00   | \$80.00   |
| 1 Year    | \$112.00  | \$98.00   | \$76.00   |
| 2 Years   | \$130.00  | \$110.00  | \$70.00   |
| 5 Years   | \$170.00  | \$140.00  | \$65.00   |
| 10 Years  | \$240.00  | \$180.00  | \$60.00   |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Energy (+2.35% today, +6.11% for the week) — traditional oil & gas is ripping on Middle East tension and supply concerns. Utilities are quietly participating (+0.46% for the week) as investors realize power demand is the AI trade nobody talks about.

**COOLING OFF:** Healthcare is flat-to-down as drug pricing chatter continues. Growth-y sectors are consolidating after a strong first half.

**ROTATION WATCH:** Money is quietly flowing into "AI picks and shovels" that aren't chip stocks — that means utilities, natural gas, nuclear names, and data center REITs. NEE is a direct beneficiary but the market hasn't fully repriced it yet.

**RELATED PLAY:** If you like the AI-power thesis, look at CEG (Constellation Energy — nuclear) or VST (Vistra) which have been the pure-play winners. NEE is the more conservative version of the same trade.

WHO'S WINNING IN THIS SPACE?

- CEG (Constellation Energy): Nuclear + hyperscaler PPAs have made this the poster child of the AI-power trade, up massively over 12 months.
- VST (Vistra): Similar story — Texas power + data center demand + nuclear optionality.

**NEE CONTEXT:** NEE has LAGGED the pure-play power names because it's viewed as more of a "utility" than an "AI trade." That's actually the opportunity — if narrative shifts and NEE gets re-rated toward the AI-power basket, there's meaningful catch-up room. But if the market keeps treating it as a regulated utility, it grinds slowly with the dividend.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

**CONVICTION:** 7/10 — Solid setup with a real growth kicker, but near-term options flow says wait for a better entry.

**POSITION SIZE:** 3-5% of portfolio — this is a core hold, not a swing trade. You get a ~3% dividend yield while you wait.

**ENTRY POINTS:** I'd add on pullbacks to \$84-87. Given the bearish put flow, there's a real chance of a dip into earnings — that's your buy zone.

**TIME HORIZON:** 12-24 months. The catalyst I'm waiting for: a marquee hyperscaler PPA announcement or clarity on IRA credit treatment.

**WHEN TO BAIL:** If they cut the dividend growth rate below 6%, if a full IRA repeal passes, or if the stock breaks \$76 on high volume (that's the technical floor).

**HEDGING:** Simplest hedge — own a bit less NEE and pair it with cash. Fancier version: if you're worried about a rate spike, own some short-duration Treasuries alongside it so you win either way.